Feeling secure

Sometimes things can go wrong. A borrower may lose his job, or a business may fail to sell its goods, and they can't pay back the money they've borrowed. If the borrower defaults, that is, he doesn't make repayments as promised in the loan agreement, the bank loses money. To protect themselves against default, before giving a large loan, banks ask the borrower to provide security, such as a house, to back up the loan. If the borrower defaults, the bank can take the house to cover its loss. Most loans